



MBA FMA – Topic 1: Introduction to Financial Accounting & Reporting

1. Definition, nature and justification of FAR
2. The Objective of FAR
3. Users of financial information

1.1 What Is Financial Accounting & Reporting?

Formal Definition

The process of **identifying, measuring, and reporting economic information** to allow informed decision-making by the relevant users. Economic information relates to the resources of the entity.

Informal Definition

FAR is essentially **telling a story about resources** in the organization what the organization owns, owes, earns, and spends, communicated in a structured and standardized way.

Nature of FAR

Organizations carry out numerous transactions daily. FAR helps **collect, record, classify, summarize, and report** these transactions in a meaningful and consistent manner for decision-makers.

1.2 Justification for FAR: Two Theories

The justification for financial accounting and reporting is grounded in two foundational theories: **Agency Theory** and **Stakeholder Theory**. Each offers a distinct rationale for why organizations must report financial information.

Agency Theory

Explains the relationship between **principals** (owners/shareholders) and **agents** (management). Management is entrusted with resources and must account for how those resources are used. Financial reporting reduces information asymmetry between owners and management.

Stakeholder Theory

Views the organization as accountable to a **broad group of stakeholders** not just shareholders who have an interest in or are affected by the organization's activities. Financial reporting provides transparent information to all relevant parties.

Agency Theory vs. Stakeholder Theory

Aspect	Agency Theory	Stakeholder Theory
Meaning	Explains the relationship between principals (owners/shareholders) and agents (management) , where management is entrusted with resources and is expected to account for how those resources are used.	Views the organization as being accountable to a broad group of stakeholders who have an interest in, or are affected by, the organization's activities and performance.
Basis of accountability	Management is primarily accountable to the owners/shareholders for the stewardship of resources entrusted to them.	Management is accountable to all relevant stakeholders , not just shareholders.
Purpose of financial statements	Financial statements help shareholders assess whether management has properly managed the resources entrusted to it and evaluate management's performance.	Financial statements provide information that enables stakeholders to assess the organization's performance, financial position, impacts and stewardship .
Key information users	Primarily shareholders/investors , although lenders and other users may also rely on the information.	Shareholders, employees, customers, suppliers, lenders, government, regulators, communities, creditors and other affected parties.
Main concern	Stewardship and control reducing information asymmetry and potential conflicts between owners and management.	Transparency, accountability and wider organizational impacts recognizing that the organization has responsibilities to multiple groups.
Why financial statements are necessary	They reduce the information asymmetry between management and owners by providing standardized financial information about performance and financial position.	They provide transparent information allowing different stakeholders to understand the organization's financial performance, position, risks and broader effects .
Overall justification for financial reporting	Financial reporting is necessary because those who control resources (management) are different from those who own them (shareholders) and therefore management must account for its stewardship.	Financial reporting is necessary because an organization affects and depends on multiple stakeholders and should therefore provide information that enables them to assess its performance and accountability.

Agency Theory: A Deeper Look

The Principal–Agent Problem

In modern organizations, those who **own** resources (shareholders/principals) are typically different from those who **control** them (management/agents). This separation creates an inherent information asymmetry, management knows more about the business than shareholders do. Financial reporting is the primary mechanism for reducing this asymmetry.

Stewardship & Accountability

Management acts as an agent of the owners and must demonstrate that it has used the owners' resources **appropriately and efficiently**. Annual financial statements showing revenue, profits, assets, liabilities, and cash flows allow shareholders to evaluate management performance and hold them accountable.

Why Financial Reporting Is Necessary

Financial reporting is necessary because those who control resources (management) are different from those who own them (shareholders). Standardized financial information provides shareholders with the tools to assess stewardship, evaluate performance, and make informed decisions about their investment.

Stakeholder Theory: A Deeper Look

Broader Accountability

Stakeholder theory views the organization as accountable to a **broad group of stakeholders** who have an interest in or are affected by the organization's activities and performance not just shareholders. Management has responsibilities to multiple stakeholders and should consider their legitimate interests when making decisions.

Transparency & Wider Impacts

Financial reporting under stakeholder theory must provide **transparent information** allowing different stakeholders to understand the organization's financial performance, position, risks, and broader effects. This includes employees, customers, suppliers, lenders, government, regulators, communities, and creditors.

Why Financial Reporting Is Necessary

Financial reporting is necessary because an organization **affects and depends on multiple stakeholders** and should therefore provide information that enables them to assess its performance and accountability. A company reports financial performance together with information relevant to employees, creditors, government, communities, and other stakeholders to demonstrate broader accountability.

2. The Objective of FAR: Identifying, Measuring & Reporting

1

Identifying

Not all resources in the organization are included in financial reporting only those that can be expressed in **money or currency terms**. For example, people are a vital resource but cannot be measured in monetary terms, so they are excluded from financial statements. Resources may be tangible (land, machinery) or intangible (knowledge, technology, intellectual property).

2

Measuring

Measurement determines the **amount of money** at which resources and transactions are recorded and reported. Measurements must produce **relevant and faithfully represented** information. Multiple measurement bases exist, including historical cost, fair value, value in use, fulfilment value, and current cost.

3

Reporting

Reporting tells the story of resources in the organization across two dimensions: **resources available** (financial position) and **changes in resources** over a given period (changes in financial position). These are communicated through the primary financial statements.

Measurement Bases in Accounting

Several measurement approaches are used in accounting, each with distinct advantages and limitations. Measurements must produce **relevant and faithfully represented** information.

Measurement Basis	Definition	Advantages	Limitations
Historical Cost	Based on original transaction price, which is adjusted for depreciation/amortization or impairment (major losses) of resources.	Objective, verifiable, easy to apply	May become outdated
Fair Value	Current market exit price	Highly relevant, reflects current market conditions	Market volatility and estimation uncertainty
Value in Use	Present value of expected future cash flows from use	Entity-specific and decision-useful	Requires estimates and judgment
Fulfilment Value	Present value of resources needed to settle a liability	Reflects entity's expected settlement	Estimation uncertainty
Current Cost	Current replacement/acquisition cost	Reflects current operating capacity	Rarely used for reporting

Financial Position: The Accounting Equation

$$\text{Assets} = \text{Capital/Equity} + \text{Liabilities}$$

The financial position reports on an organization's resources and the providers (or claimants) of those resources.

Assets

A **present economic resource controlled by the entity** as a result of past events. An economic resource is a right that has the potential to produce economic benefits something the business owns or controls expected to provide future benefits.

Liabilities

A **present obligation of the entity to transfer an economic resource** as a result of past events a current debt or obligation the business must settle by transferring cash, goods, services, or other economic resources in the future.

Equity

The **residual interest in the assets of the entity after deducting all its liabilities** the owners' claim on the business after all liabilities have been paid. It represents the net assets belonging to the owners.

Non-Current Assets: Classification & Measurement

Assets expected to last in the organization **beyond the next 12 months** are classified as non-current assets. The following are the main categories under IFRS:

Property, Plant & Equipment — IAS 16

Tangible assets held for use in production, supply, rental, or administration for more than one year (land, buildings, machinery, vehicles). **Initial:** At cost. **Subsequent:** Cost Model (Cost – Accumulated Depreciation – Impairment) or Revaluation Model (Fair Value – Subsequent Depreciation – Impairment). Land is not depreciated.

Intangible Assets — IAS 38

Identifiable non-monetary assets without physical substance (patents, trademarks, copyrights, software, licenses). **Initial:** At cost. **Subsequent:** Cost Model or Revaluation Model (only if active market exists). Finite-life intangibles are amortized; indefinite-life intangibles are tested annually for impairment.

Investment Property — IAS 40

Property held to earn rentals or for capital appreciation (office buildings leased to tenants, warehouses rented out, land held for appreciation). **Initial:** At cost. **Subsequent:** Fair Value Model (changes in P&L; no depreciation) or Cost Model (Cost – Depreciation – Impairment).

Non-Current Assets: Financial Assets, ROU Assets

Financial Assets at FVOCI & Amortized Cost — IFRS 9

Financial assets expected to be held for more than 12 months, classified based on the entity's business model and contractual cash flow characteristics (long-term bonds, loans receivable, debt securities).

Amortized Cost: Initially at fair value plus transaction costs; subsequently using the Effective Interest Method (EIR) less Expected Credit Losses (ECL). **FVOCI:** Initially at fair value plus transaction costs; subsequently at fair value with changes recognized in Other Comprehensive Income (OCI).

Right-of-Use (ROU) Assets — IFRS 16

Assets representing a lessee's right to use an underlying asset for the lease term (leased office buildings, warehouses, vehicles, equipment, manufacturing plants).

Initial: Measured at cost comprising the initial lease liability, lease payments made before commencement, initial direct costs, and estimated restoration costs.

Subsequent: Cost less accumulated depreciation and impairment, adjusted for lease modifications. Depreciated over the shorter of the lease term or useful life unless ownership transfers to the lessee.

Current Assets: Classification & Measurement

Main Category	Meaning	Examples	Measurement for Financial Statements Presentation (IFRS)
1. Inventory (IAS 2)	Assets held for sale in the ordinary course of business, in the process of production for sale, or materials and supplies to be consumed in production or service delivery.	Merchandise, raw materials, work-in-progress, finished goods, spare parts held for sale.	Initial measurement: At cost, including purchase costs, conversion costs, and other costs incurred to bring the inventory to its present location and condition. Subsequent measurement: At the lower of Cost and Net Realizable Value (NRV). Any write-down to NRV is recognized as an expense.
2. Trade Receivables (Financial Assets at Amortized Cost – Short-Term) (IFRS 9)	Amounts owed by customers for goods or services supplied on credit and expected to be collected within 12 months.	Customer receivables, accounts receivable, invoices due within one year.	Initial measurement: At the transaction price (or fair value if a significant financing component exists). Subsequent measurement: At Amortized Cost (usually equal to invoice amount for short-term receivables) less an allowance for Expected Credit Losses (ECL) under IFRS 9.
3. Accrued Income and Prepaid Expenses	Accrued income: Income earned but not yet received. Prepaid expenses: Payments made in advance for goods or services to be received in the future.	Accrued income: Interest receivable, rent receivable, commission receivable. Prepaid expenses: Prepaid insurance, prepaid rent, prepaid subscriptions, prepaid maintenance contracts.	Accrued income: Measured at the amount expected to be received (subject to IFRS 9 where applicable). Prepaid expenses: Measured at historical cost less the portion consumed or recognized as an expense during the reporting period.

Current Assets: Classification & Measurement

Main Category	Meaning	Examples	Measurement for Financial Statements Presentation (IFRS)
4. Financial Assets at Fair Value Through Profit or Loss (FVTPL) (IFRS 9)	Financial assets held primarily for trading or those designated to be measured at fair value through profit or loss.	Shares held for trading, mutual fund investments, short-term marketable securities, trading derivatives, treasury investments held for trading.	Initial measurement: At fair value (transaction costs are generally expensed immediately). Subsequent measurement: At fair value at each reporting date, with all gains and losses recognized immediately in Profit or Loss .
5. Cash and Cash Equivalents (IAS 7)	Cash on hand and short-term, highly liquid investments that are readily convertible into known amounts of cash and subject to insignificant risk of changes in value.	Cash in hand, bank current accounts, demand deposits, petty cash, treasury bills with original maturities of three months or less, money market funds (if qualifying).	Measured at face value (nominal amount) . Foreign currency balances are translated at the closing exchange rate at the reporting date in accordance with IAS 21. Cash equivalents are measured at amounts readily convertible to cash.

Equity: Components of Capital

Capital/Equity depends on the type of business. In the context of a company, the following are the main types of equity:



Ordinary Share Capital

Capital contributed by ordinary shareholders in exchange for ownership shares. Reported at nominal (par) value. Provides voting rights, participation in profits through dividends, and permanent financing for the company.



Share Premium

Amount received from shareholders above the nominal (par) value of shares issued. E.g., shares with par value \$1 issued for \$5 create a share premium of \$4 per share. Presented as a separate reserve within equity.



Preference Share Capital

Capital raised through preference shares carrying preferential rights over ordinary shares regarding dividends and capital repayment on liquidation. Classified as equity or financial liability depending on terms (IAS 32).



Treasury Shares

The company's own shares repurchased from shareholders but not cancelled. IAS 32 requires treasury shares to be deducted from equity; no gain or loss recognized in profit or loss. Usually presented as negative equity.

Equity: Reserves & Retained Earnings

Revaluation Reserves

Reserves arising from increases in the carrying amount of certain assets following revaluation or fair value measurement e.g., revaluation surplus on land and buildings (IAS 16); FVOCI reserve for debt and equity instruments (IFRS 9). **Generally not distributable** as cash dividends because they represent unrealized gains. Recognized through Other Comprehensive Income (OCI) and accumulated in equity until transferred or realized. Reflects current asset values, strengthens the statement of financial position, and improves borrowing capacity.

Retained Earnings

Accumulated profits earned by the company that have not been distributed as dividends to shareholders. Increased by profit for the year and reduced by dividends, prior-period adjustments, and transfers to reserves. Usually distributable as dividends only if permitted by company law and subject to solvency/capital maintenance requirements. Provides an internal source of finance for expansion, R&D, acquisitions, debt repayment, working capital, and business sustainability without issuing new shares.

Liabilities: Non-Current Categories

Liabilities are classified as **current or non-current** depending on when they are expected to be settled, and measured in accordance with relevant IFRS standards.

1 Long-Term Loans & Bonds — IFRS 9

Borrowings from banks or investors repayable after more than 12 months. Bonds are debt securities issued to raise long-term finance. **Initial:** Fair value less/plus directly attributable transaction costs. **Subsequent:** Amortized Cost using the Effective Interest Rate (EIR) method, unless designated at FVTPL. The current portion due within 12 months is presented as current.

2 Finance Lease Obligations — IFRS 16

Present obligation arising from lease contracts requiring future lease payments. Split between current and non-current according to payment due dates. Initial: Present value of future lease payments discounted at the interest rate implicit in the lease (or incremental borrowing rate). Subsequent: Amortized Cost using the effective interest method, reduced by lease payments.

3 Deferred Tax Liability — IAS 12

Future income tax payable arising from taxable temporary differences between the carrying amount of assets/liabilities and their tax bases. Classified as non-current. Measured using tax rates enacted or substantively enacted at the reporting date expected to apply when temporary differences reverse. Not discounted.

Liabilities: Current Categories

Liability	Meaning	Measurement (IFRS)
Short-Term Loans & Bank Overdrafts — IFRS 9	Borrowings due within one year, including bank overdrafts for short-term financing	Initially at fair value less transaction costs. Subsequently at Amortized Cost using EIR method.
Trade Payables — IFRS 9	Amounts owed to suppliers for goods/services purchased on credit in the ordinary course of business	Initially at transaction price. Subsequently at Amortized Cost (usually equal to invoice amount for short-term payables).
Accrued Expenses & Prepaid Income	Expenses incurred but not yet paid; cash received before goods/services provided (performance obligation)	Accrued expenses: Best estimate of amount payable. Prepaid income: Amount received that remains unearned; revenue recognized as obligation satisfied (IFRS 15).
Current Tax Payable — IAS 12	Income taxes payable in respect of taxable profits for current and prior reporting periods	Amount of income tax expected to be paid using enacted or substantively enacted tax rates at the reporting date.

Liabilities: Provisions, Deferred Income & Pension

Provisions — IAS 37

Liabilities of **uncertain timing or amount** arising from present obligations due to past events where an outflow of economic resources is probable and can be reliably estimated. Current or non-current depending on expected settlement. Measured at the **best estimate** of expenditure required to settle the obligation. Where the time value of money is material, measured at the **present value** of expected future cash outflows using an appropriate pre-tax discount rate.

Deferred Income (Contract Liabilities) — IFRS 15

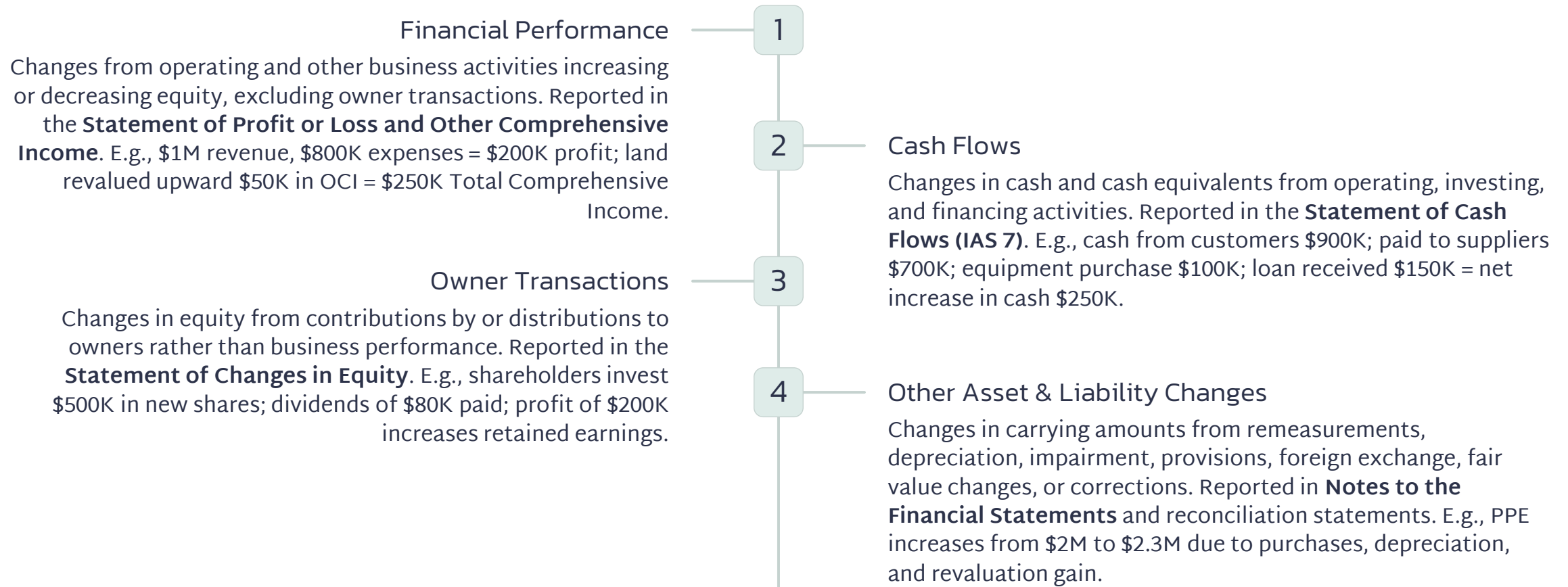
Consideration received (or receivable) before the entity transfers goods or services to a customer an obligation to deliver goods or services in the future. Current or non-current depending on when the performance obligation is expected to be satisfied. Measured at the transaction price allocated to remaining performance obligations. Revenue recognized as the entity satisfies its contractual obligations.

Defined Benefit Pension Liability — IAS 19

Obligation to provide specified post-employment benefits to employees under a defined benefit pension plan. Generally non-current. Measured as the **net defined benefit liability** the present value of the defined benefit obligation (DBO) less the fair value of plan assets, using the **Projected Unit Credit Method** and actuarial assumptions. Actuarial gains and losses are recognized in Other Comprehensive Income (OCI).

Changes in Financial Position

Changes in financial position explain changes in the values of assets, liabilities, and equities over a given period a quarter, six months, or most commonly annually.



The Six Primary Financial Reports Under IFRS

The six primary financial reports required under IFRS work together to provide a **complete picture** of an entity's financial position, performance, cash flows, and changes in equity.

01

Statement of Financial Position

Shows what the business owns, owes, and the owners' interest at a specific date.

03

Statement of Comprehensive Income

Shows total change in wealth from both profit/loss and items recognized outside profit or loss.

05

Statement of Changes in Equity

Explains how owners' equity changed during the reporting period.

02

Statement of Profit or Loss

Shows whether the business made a profit or loss during the reporting period.

04

Statement of Cash Flows

Shows how cash and cash equivalents increased or decreased during the period.

06

Notes to the Financial Statements

Provide detailed explanations and additional information supporting the financial statements.

Statement of Financial Position (Balance Sheet)

Main Purpose

Shows what the business **owns, owes, and the owners' interest** at a specific date. Structured around the accounting equation: $\text{Assets} = \text{Equity} + \text{Liabilities}$.

Presentation Format

Presented in three sections: Assets, Liabilities, and Equity.

Main Contents

- **Assets:** Current (cash, inventory, receivables) and Non-current (property, equipment, investments, intangible assets)
- **Liabilities:** Current (trade payables, short-term loans, tax payable) and Non-current (long-term loans, lease liabilities, deferred tax)
- **Equity:** Share capital, reserves, retained earnings, non-controlling interest (if applicable)

Statement of Profit or Loss

Main Purpose

Shows whether the business made a **profit or loss** during the reporting period.

Presentation Format

Presented in income statement format, beginning with **Revenue** and ending with **Profit for the Year**.

Main Contents

- Revenue
- Cost of sales → Gross profit
- Operating expenses (administration, selling and distribution)
- Operating profit
- Finance costs and investment income
- Tax expense
- Profit for the year

Financial Performance: Profit or Loss vs. OCI

Profit or Loss (P&L)

Includes all income and expenses recognized in the period that are **not OCI**. Key line items: revenue, cost of sales, gross profit, operating expenses, operating profit, finance costs, investment income, tax expense, and profit for the year. Changes in financial assets at FVTPL are recognized here immediately.

Other Comprehensive Income (OCI)

Includes items of income and expense that are not recognized in profit or loss as required or permitted by IFRS. Examples: revaluation surplus on PPE (IAS 16), fair value changes on FVOCI financial assets (IFRS 9), foreign currency translation differences, actuarial gains/losses on defined benefit plans (IAS 19).

Total Comprehensive Income

The sum of profit for the year and OCI represents the total change in equity during the period resulting from transactions and other events, other than changes resulting from transactions with owners in their capacity as owners (e.g., dividends, share issues).

Statement of Comprehensive Income & Cash Flows

Statement of Comprehensive Income

Purpose: Shows the total change in wealth arising from both profit/loss and items recognized outside profit or loss.

Contents: Profit for the year plus Other Comprehensive Income (OCI), revaluation surplus, foreign currency translation differences, certain fair value changes, actuarial gains/losses, resulting in **Total Comprehensive Income**.

Format: Begins with Profit for the Year, followed by OCI, ends with Total Comprehensive Income.

Statement of Cash Flows — IAS 7

Purpose: Shows how cash and cash equivalents increased or decreased during the period.

Contents: Cash flows from Operating Activities, Investing Activities, and Financing Activities; net increase/decrease in cash and closing cash balance.

Format: Presented in three sections Operating, Investing, and Financing Activities ending with Closing Cash and Cash Equivalents.

Statement of Changes in Equity & Notes

Statement of Changes in Equity

Purpose: Explains how owners' equity changed during the reporting period.

Contents: Opening equity balances, profit for the year, OCI, total comprehensive income, new share capital issued, dividends, transfers to/from reserves, and closing equity balances.

Format: Usually presented as a **matrix (table)** showing movements for each equity component Share Capital, Retained Earnings, Reserves, etc.

Notes to the Financial Statements

Purpose: Provide detailed explanations and additional information supporting the financial statements.

Contents: Accounting policies, detailed breakdowns of financial statement items, assumptions and estimates, risk disclosures, commitments, contingencies, related party transactions, events after the reporting period, and other IFRS disclosures.

Format: Numbered explanatory notes, often with supporting schedules and reconciliation tables corresponding to line items in the primary financial statements.



USERS OF FINANCIAL INFORMATION

3. Who Uses Financial Information?

Financial information serves a wide range of users, each with distinct relationships to the organization, specific information needs, and different types of decisions to make. Understanding these users is fundamental to appreciating why financial reporting must be comprehensive, transparent, and reliable.

Owners & Shareholders

Relationship

Own the organization and provide equity capital.
They are the **ultimate providers of risk capital**.

Types of Decisions

- Whether to invest more, retain, or sell shares
- Assess management performance
- Approve dividends
- Appoint or replace directors/management

Financial Information Needs

- **Financial position:** Assets, liabilities, and net assets/equity
- **Financial performance:** Revenue, profit, margins, and returns on investment
- **Cash flows:** Operating cash generation, dividends, and financing needs

Employees

Relationship

Provide labour and skills in exchange for salaries, benefits, and other employment conditions.

Types of Decisions

- Whether to remain with the organization
- Seek better employment terms
- Negotiate remuneration
- Assess job security
- Participate in employee/share-ownership schemes

Financial Information Needs

- **Financial position:** Ability of the organization to remain financially stable and meet obligations
- **Financial performance:** Profitability, revenue growth, and sustainability of operations
- **Cash flows:** Ability to pay salaries, bonuses, and other employee benefits

Customers

Relationship

Purchase the organization's goods or services and may depend on it for **continued supply**.

Types of Decisions

- Whether to continue purchasing
- Enter long-term contracts
- Depend on the organization as a supplier
- Seek alternative suppliers

Financial Information Needs

- **Financial position:** Financial strength and ability to continue operating
- **Financial performance:** Growth, profitability, and sustainability of the business
- **Cash flows:** Ability to maintain operations, supply products, and provide after-sales services

Suppliers

Relationship

Provide goods, services, or raw materials, often on **credit terms**.

Types of Decisions

- Whether to grant credit
- Determine credit limits and payment terms
- Continue supplying
- Require cash payment or security

Financial Information Needs

- **Financial position:** Liquidity, assets and liabilities, particularly short-term obligations
- **Financial performance:** Profitability and business sustainability
- **Cash flows:** Ability to pay suppliers when debts fall due

Lenders & Financial Institutions

Relationship

Provide loans, overdrafts, and other forms of finance to the organization.

Types of Decisions

- Whether to lend and on what terms
- Amount and terms of financing
- Interest rates and collateral requirements
- Credit limits
- Whether to renew or recall facilities

Financial Information Needs

- **Financial position:** Assets, liabilities, equity, and solvency
- **Financial performance:** Profitability and ability to generate sufficient earnings to service debt
- **Cash flows:** Operating cash flows and ability to meet interest and principal repayments

Government & Its Agencies

Relationship

Regulate the organization, collect taxes, enforce laws, and develop economic and sector policies.

Types of Decisions

- Tax assessment and collection
- Regulatory decisions
- Economic planning
- Licensing and compliance monitoring
- Formulation of government policies

Financial Information Needs

- **Financial position:** Assets, liabilities, equity, and taxable resources
- **Financial performance:** Revenue, profits, costs, and taxable income
- **Cash flows:** Cash transactions relevant to taxation and regulatory monitoring

The Public & General Community

Relationship

May be affected by the organization's economic, social, and environmental activities, and may depend on it as an employer, service provider, or corporate citizen.

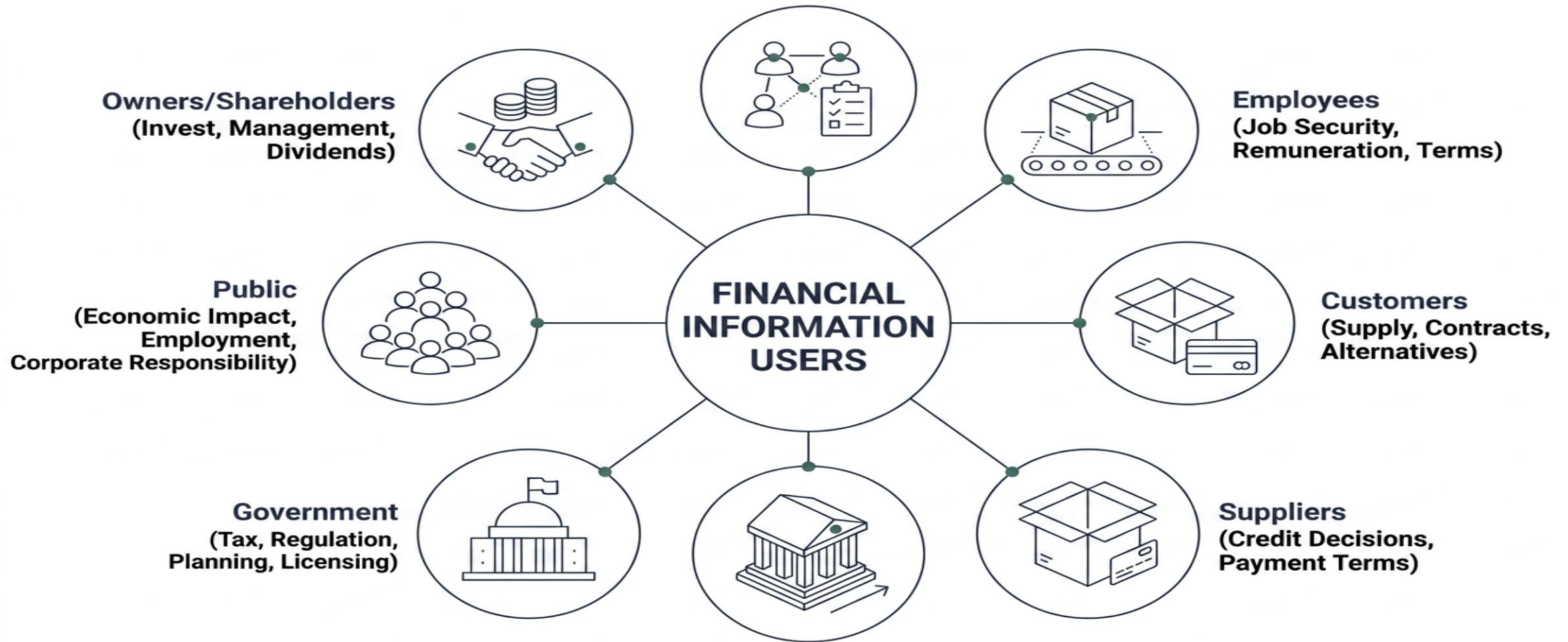
Types of Decisions

- Assess the organization's economic and social contribution
- Employment prospects
- Reliability as a service provider
- Corporate responsibility
- Potential impact on the community

Financial Information Needs

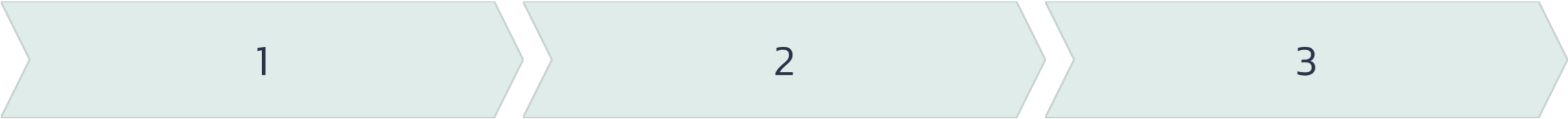
- **Financial position:** Financial strength and continuity of the organization
- **Financial performance:** Growth, profitability, and contribution to the economy
- **Cash flows:** Ability to sustain employment, services, investments, and community-related activities

All Users at a Glance



Each user group has distinct information needs and makes different types of decisions based on the financial information provided by the organization. Effective financial reporting must serve all these stakeholders simultaneously.

Cash Flows: Three Activity Categories



1

Operating Activities

Cash flows from the principal revenue-producing activities of the entity. E.g., cash received from customers, cash paid to suppliers and employees, interest paid (if classified here), taxes paid. Reflects the entity's ability to generate cash from its core business.

2

Investing Activities

Cash flows from the acquisition and disposal of long-term assets and other investments. E.g., purchase of property, plant and equipment; proceeds from sale of investments; loans made to other parties. Reflects the entity's investment in future capacity.

3

Financing Activities

Cash flows that result in changes in the size and composition of equity and borrowings. E.g., proceeds from issuing shares, proceeds from borrowings, repayment of loans, payment of dividends, repayment of lease liabilities. Reflects how the entity funds its activities.

Equity Movements: Statement of Changes in Equity

The Statement of Changes in Equity is typically presented as a **matrix (table)** showing movements for each equity component during the reporting period.

Movement	Share Capital	Share Premium	Revaluation Reserve	Retained Earnings	Total Equity
Opening balance	✓	✓	✓	✓	✓
Profit for the year	—	—	—	✓	✓
Other Comprehensive Income (OCI)	—	—	✓	✓	✓
Total Comprehensive Income	—	—	✓	✓	✓
New share capital issued	✓	✓	—	—	✓
Dividends paid	—	—	—	✓	✓
Transfers to/from reserves	—	—	✓	✓	—
Closing balance	✓	✓	✓	✓	✓

Notes to the Financial Statements



Accounting Policies

Detailed description of the specific accounting policies applied in preparing the financial statements, including measurement bases and any significant judgments made in applying those policies.



Detailed Breakdowns

Detailed breakdowns of financial statement line items e.g., PPE reconciliation tables, inventory analysis, trade receivables aging, borrowings schedule providing granular information beyond the face of the statements.



Risk Disclosures

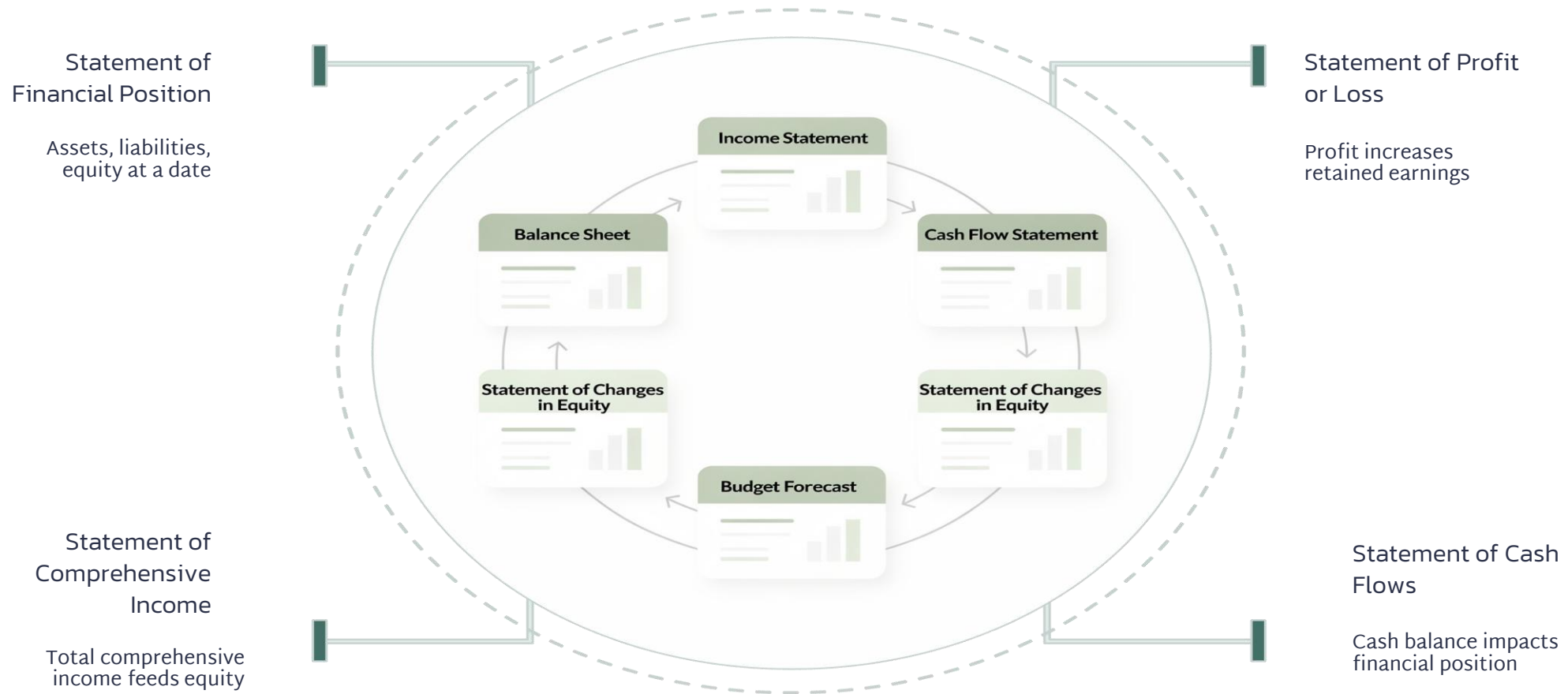
Information about the entity's exposure to financial risks (credit risk, liquidity risk, market risk), assumptions and estimates used, commitments, contingencies, and related party transactions.



Events After Reporting Period

Disclosure of significant events occurring after the reporting date that may affect the financial statements or users' understanding of the entity's financial position and performance.

How the Six Financial Reports Connect



The six primary financial reports are deeply interconnected. Profit from the Statement of Profit or Loss flows into Retained Earnings in the Statement of Changes in Equity, which in turn updates the Equity section of the Statement of Financial Position. The Statement of Cash Flows reconciles the opening and closing cash balances shown on the Statement of Financial Position. The Notes underpin and explain all primary statements.

Key Takeaways: MBA FMA Introduction to FAR

Definition & Nature

FAR is the process of identifying, measuring, and reporting economic information to enable informed decision-making. It collects, records, classifies, summarizes, and reports organizational transactions.

Justification

Grounded in Agency Theory (principal-agent relationship, stewardship accountability) and Stakeholder Theory (broader accountability to all affected parties, not just shareholders).

Financial Position

Assets = Equity + Liabilities. Assets and liabilities are classified as current/non-current and measured under specific IFRS standards. Equity comprises share capital, reserves, and retained earnings.

Six Financial Reports

Statement of Financial Position, Profit or Loss, Comprehensive Income, Cash Flows, Changes in Equity, and Notes together providing a complete picture of financial position, performance, and cash flows.

Users of Information

Seven key user groups ; owners, employees, customers, suppliers, lenders, government, and the public each with distinct information needs and decision types, all served by comprehensive financial reporting.